The Stimulus—More Smoke than Fire

On 12 May, Prime Minister Narendra Modi announced that the government would deliver a Rs 20 lakh crore ‘stimulus package’. Finance Minister Nirmala Sitharaman unfurled the package in five instalments over the next five days (13–17 May). This package was announced at Rs 21 lakh crore on the final day of these long press conference announcements. Called the ‘Atmanirbhar Bharat’ package, it aimed to take care of the disruption caused by the pandemic (actually lockdown) and put India into a new orbit of ‘self-reliant’ growth.

Earlier on 26 March, immediately after the lockdown was imposed, the government had announced a relief package, termed Pradhan Mantri Garib Kalyan Yojana, to provide financial and food assistance to the poor and vulnerable. This package included depositing Rs 1000, in two instalments of Rs 500 each, in the bank accounts of an estimated 20 crore women, and free provision of foodgrains (5 kg of wheat/rice and 1 kg of pulses) to all ration card holders (estimated to be about 80 crore Indians). The grant of three free cylinders to 8 crore Ujjwala scheme LPG connection holders was also announced. The government claimed that these measures were to cost Rs 1.7 trillion. However, it did not provide item-wise calculations.

The Rs 21 lakh crore Atmanirbhar Bharat package was a mishmash of fiscal, monetary and liquidity interventions. In addition to liquidity measures announced by the RBI, the government had also announced several liquidity and temporary forbearance measures. There were only a few fiscal support measures and credit support measures for businesses. One set of measures were announcements of the intention to make future investments, measures that were already part of the Budget or expenditures in the domain of entities other than the Central government and its agencies.